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Downsizing Effects on Survivors: Layoffs, Offshoring, and Outsourcing

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In a representative sample of 13,683 U.S. employees, we compared survivors of layoffs, offshoring, outsourcing, and their combinations to a group who experienced no downsizing. Survivors of layoffs perceived lower organizational performance, job security, affective attachment, calculative attachment, and had higher turnover intentions. Offshoring survivors perceived lower performance, fairness, and affective attachment, but outsourcing survivors generally did not have more negative outcomes than the no-downsizing group. Layoffs generally had more negative outcomes than other downsizing forms.

DOWNSIZING, "the planned elimination of positions and jobs" (Cascio 1993: 96), has become a defining characteristic of organizational life. Organizations often downsize in an attempt to cut labor costs, improve profitability, and achieve a greater competitive advantage. However, there have been notable failures of many downsizing initiatives to deliver these benefits (Cascio 1993). As a result of such failures and because downsizing has impacted so many employees, much research has focused on understanding negative aspects of downsizing, including reduced survivor attachment to the organization and retention (e.g., Armstrong-Stassen and Cameron 2003). Among downsizing survivors, voluntary turnover may be especially damaging for organizations (Trevor and Nyberg 2008). Thus, any increased voluntary turnover propensity among survivors would typically be dysfunctional for the organization, especially in the critical period after a downsizing event. Thus, better understanding survivor reactions and turnover propensity seems vital to minimizing the damaging costs of downsizing.

In this study, we expand this understanding in three ways. First, despite many studies that suggest that downsizing survivors have negative reactions

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and higher intention to quit, empirical studies have not definitively established this. Here, we overcome past methodological limitations and provide a more definitive test of the main (between-subjects) effect of downsizing experiences on survivors' reactions, relevant psychological attachments to the organization, and turnover intentions. Specifically, we provide an appropriate comparison group that did not have downsizing in their organizations. This, along with our large representative sample, strengthens inference for our main effect tests beyond that of previous studies.

Second, there has been little research on how survivors react to outsourcing or offshoring, with most studies focusing on layoffs or undifferentiated "downsizing" (e.g., Trevor and Nyberg 2008). Yet, Freeman and Cameron (1993) emphasize that different forms exist, including outsourcing and offshoring. Outsourcing is defined as a decision to move work to outside domestic entities (e.g., contractor organizations, consultants), resulting in job loss within the company. Offshoring is defined as a decision to move work to foreign entities outside the company. The present study is the first to conduct main effect tests of offshoring and outsourcing experiences on key survivor outcomes.

Third, there has been no research on how survivor reactions may vary for layoffs vs. offshoring vs. outsourcing. If such differences exist, it is important for researchers to understand them, because managers may have discretion in which downsizing form to employ and need information on relative costs. For the first time, we propose mechanisms by which survivors may perceive layoffs, outsourcing, and offshoring differently. Next, we review research in order to better contextualize these contributions.

Downsizing Survivor Reactions

At least two key models inform our understanding of how survivors react to downsizing. Brockner and Greenberg (1990) introduced a justice-based model where survivors evaluate the fairness of the layoff execution and the explanation from management; empirical studies also support the main contention that positive perceptions of management fairness help bolster survivor attitudes after layoff (e.g., Davy, Kinicki, and Scheck 1991). Mishra and Spreitzer (1998) proposed that perceived justice and trust, along with empowerment and satisfying work design, positively influence reactions to downsizing. These models and empirical findings suggest important reactions that we consider here.

Methodological Limitations. The research clearly implies a negative effect for downsizing. Yet, there have been few valid direct tests of the supposed

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negative main effects on survivor reactions and retention. Instead, most prominent research on survivor reactions has simply examined empirical relationships *among survivors*. Although studies at the organizational level of analysis have found that downsizing rates are positively related to quit rates (Batt, Colvin, and Keefe 2002; Trevor and Nyberg 2008), there are only two studies at the individual level, to our knowledge, that used a comparison group. In a longitudinal study of two downsizing events, Armstrong-Stassen and Cameron (2003) repeatedly surveyed a sample of 111 Canadian nurses who reported a significant increase in turnover intention after a second downsizing event, but not after the first. This study does not answer whether it always takes two downsizing events to impact turnover intentions. Brockner et al. (2004) was the only study with a between-subjects comparison group (i.e., another plant in the same division) to assess the main effect of layoffs on organizational commitment. Those surviving the layoff reported significantly lower commitment, but turnover intentions were not measured. In addition, rumors of downsizing could have traveled to the comparison facility (e.g., Marks and De Meuse 2005), making it less appropriate. Also, researchers typically survey respondents from one organization only, with small samples of very few kinds of jobs. Here we overcome these issues with a representative sample and an appropriate "no downsizing" comparison group.

Outsourcing and Offshoring. Despite the relative dearth of research on outsourcing and offshoring, some authors seem to assume that employees react negatively to outsourcing and offshoring, in a similar way as they do to layoffs (e.g., Belcourt 2006). Because managers may be able to choose downsizing forms (Shao and David 2007), researchers should test how survivors may react differently to these forms.

Hypotheses

Mishra and Spreitzer's (1998) model implies negative main effects on management fairness, empowerment, and work satisfaction. We also suggest that past downsizing would generally indicate more, not less, threat to survivor job security going forward (Batt, Colvin, and Keefe 2002; cf. Trevor and Nyberg 2008). Finally, downsizing may be seen as a signal or symptom of poor organizational performance (Marks and De Meuse 2005).

> Hypothesis 1: For survivors of downsizing, perceptions of: (a) management fairness, (b) empowerment, (c) work satisfaction, (d) job security, and (e) organizational performance will be lower than for those not experiencing any downsizing.

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Psychological Attachments and Turnover Intentions. First, surviving downsizing can lead to negative emotion toward the organization itself (Brockner et al. 2004), decreasing "affective attachment" (Maertz and Griffeth 2004). Second, survivors may perceive that future goals will be difficult to achieve in the organization after downsizing, decreasing "calculative attachment" (Maertz and Griffeth 2004). Maertz and Griffeth (2004) propose that these forces, in turn, cause turnover intention.

> Hypothesis 2: The affective attachment levels of survivors of downsizing will be significantly lower than for those not experiencing any downsizing.
> Hypothesis 3: The calculative attachment levels of survivors of downsizing will be significantly lower than for those not experiencing any downsizing.
> Hypothesis 4: The turnover intentions of survivors of downsizing will be significantly higher than for those not experiencing any downsizing.

Layoffs vs. Outsourcing vs. Offshoring. Beyond coworker unemployment, other differential effects may exist among forms. Nishii, Lepak, and Schneider (2008) proposed three internal attribution categories that are relevant to the downsizing context: service quality, cost reduction, and exploiting employees. Based on these and other possible signals, we propose four ways by which downsizing forms may elicit varying reactions.

First, one practice may signal more job threat for the surviving employees. Unlike outsourcing and offshoring, layoffs may be applied to most any jobs any time, and thus, could be seen as more threatening going forward (Dewettinck and Buyens, 2002). Second, attribution theory would predict that if a downsizing form is in management's volitional control, it should be seen as more negative than a form attributed to inevitable environmental causes (Nishii, Lepak, and Schneider 2008). Layoffs may be seen as more of an indicator of macroeconomic downturns (Freeman and Cameron 1993), largely beyond management control. In contrast, outsourcing and offshoring may be seen more as an active, volitional choice to move work elsewhere. Third, lack of perceived fairness and trust in management partly underlies negative survivor reactions to downsizing (Brockner and Greenberg 1990; Mishra and Spreitzer 1998). One aspect on which to distinguish downsizing forms is perceived unfairness based in nationalism and an attribution of "exploiting" employees internationally (see Nishii, Lepak, and Schneider 2008). Thus, offshoring may produce more negative reactions than other forms. Fourth, one practice may signal to employees more evidence of poor management than another (e.g., Marks and De Meuse 2005). Layoffs imply work is "lost" due to some organizational decline, often attributed to poor management (Freeman and Cameron 1993). Outsourcing and offshoring are more likely than layoffs to be

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seen as service quality boosters rather than pure cost reduction responses to decline (Nishii, Lepak, and Schneider 2008). In sum, two arguments suggest that layoff survivors would have the most negative outcomes and two suggest other forms. Thus:

> Hypothesis 5: The (a) survivor reactions, (b) affective attachment, (c) calculative attachment, and (d) turnover intentions of those experiencing layoffs, outsourcing, and offshoring will be significantly different from one another.

Survivors may experience multiple downsizing events in a period (Armstrong-Stassen and Cameron 2003). Based on "stress-vulnerability," we expect more downsizing events would be more threatening than fewer (Moore, Grunberg, and Greenberg 2004):

> Hypothesis 6: The (a) survivor reactions, (b) affective attachment, (c) calculative attachment, and (d) turnover intentions for those experiencing one downsizing practice will be higher (turnover intentions lower) than for those who experience two, which will be higher than for those experiencing three downsizing forms.

Methods

Sample and Procedure. All data were taken from the WorkTrends™ survey database, a survey program conducted annually by an employee survey research firm to establish national norms (i.e., Gantz Wiley Research of Minneapolis, Minneapolis, MN, USA). Subjects were drawn from a random sample of adult workers in the United States, stratified according to census demographics including age, income, and geography. Each year (i.e., 2003–2005) 10,000 surveys were mailed to be completed by the principal wage earners who are employed full time at organizations of one hundred or more. Of 19,716 total respondents, we screened out: those who were unsure whether their company had engaged in downsizing during the past year and potential downsizing victims. Those experiencing mergers or acquisitions during the period were also screened. Screening left $N = 13{,}683$ respondents; 51 percent were male.

Measures. (1) *Independent variable—downsizing*. The key categorical independent variable had eight values and was constructed as follows: No downsizing ($n = 3825$), layoff ($n = 1209$), offshoring ($n = 828$), outsourcing ($n = 2293$), layoff and offshoring ($n = 543$), layoff and outsourcing

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(n = 1402), outsourcing and offshoring (n = 1759), and layoff, outsourcing, and offshoring (n = 1469).

(2) *Dependent variables.* There are eight dependent variables, each of which was measured on an ordered five-point scale in a 1 = strongly agree to 5 = strongly disagree format: management fairness, empowerment, work satisfaction, job security, perceived organizational performance, affective attachment to the organization, calculative attachment to the organization, and turnover intention.

(3) *Covariates.* Here, we controlled for management communication because it is the official vehicle by which employees acquire information about downsizing (Marks and De Meuse 2005). Good management communication can reduce fear and allow more time for planning and coping. Similarly, the trustworthiness or ethics of top managers may also affect how survivors react to downsizing (Spreitzer and Mishra 2002). Management communication and perceived management ethics were measured with a 1 = strongly agree to 5 = strongly disagree format. We also controlled for age (measured in years), tenure (coded as 1 = <1 year, 2 = 1–2 years, 3 = 3–5 years, 4 = 6–10 years, 5 = 11–15 years, and 6 = >15 years), organization size or number of employees (1 = <100, 2 = 100–249, 3 = 250–499, 4 = 500–999, 5 = 1000–4999, 6 = 5000–9999, 7 = >10,000), and hourly/salaried Fair Labor Standards Act pay type (1 = hourly, 2 = salaried).

Results

We ran exploratory factor analysis on all continuous scales, showing only one (small) cross-loading. Means, SD, ranges, and reliabilities for study variables are reported in Table 1. In the MANCOVA analysis, the Wilk's Lambda equaled 0.84 (F = 30.5; $p < 0.001$). All univariate F-tests were also significant ($p < 0.001$).

Before describing the results for hypothesis tests we summarize the key results for how the eight dependent variables depend on the eight-category independent variable. Only for the dependent variable Job Security can the impact of the independent variable be considered moderately large. Employees in firms with no downsizing had about 0.5 points (or about 1/2 SD) better job security than employees in firms with layoffs or two-way layoff combinations. For each of the seven other dependent variables there are small differences in adjusted mean values as one moves from one to another value of the independent variable, mostly about 1/4 SD or less.

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TABLE 1

MEANS, SD, RANGES, AND INTERNAL CONSISTENCY RELIABILITIES

	Variable	Mean	SD	Minimum	Maximum	Reliability	*N*
1	Tenure	4.42	1.41	2.00	6.00	–	13,683
2	Age	45.90	10.36	4.00	97.00	–	13,485
3	Pay type	1.55	0.50	1.00	2.00	–	13,197
4	Company size	4.26	2.02	1.00	7.00	–	13,468
5	Management fairness	2.48	0.97	1.00	5.00	0.827	13,502
6	Empowerment	2.68	0.87	1.00	5.00	0.831	13,682
7	Work satisfaction	1.99	0.82	1.00	5.00	0.871	13,509
8	Job security	2.33	1.10	1.00	5.00	–	13,683
9	Perceived performance	2.77	0.71	1.00	5.00	0.653	13,683
10	Affective attachment	2.37	0.90	1.00	5.00	0.854	13,460
11	Calculative attachment	2.83	1.00	1.00	5.00	0.875	13,507
12	Turnover intention	3.75	1.25	1.00	5.00	–	13,683
13	Management communication	2.70	0.88	1.00	5.00	0.821	13,437
14	Management ethics	2.44	0.91	1.00	5.00	0.851	13,510

NOTE: Because all variables are reverse coded, means are transposed about the midpoint (i.e., "3").

Hypothesis Tests. Testing hypotheses 1a–1e, 2, 3, and 4 involved examining mean comparisons between each of the seven downsizing groups vs. the "no downsizing" group. We chose to conservatively test hypotheses using group means adjusted by covariates (see Table 2). For manager fairness, only offshoring alone had significantly lower perceptions of manager fairness than the no downsizing group. For empowerment, contrary to expectations, offshoring and two (of three) combinations with offshoring had significantly "higher" empowerment than the no downsizing group. For work satisfaction, no effects were significant. Thus, only one of the twenty-one comparisons was supportive for fairness (1a), empowerment (1b), and work satisfaction (1c). All forms and combinations of downsizing except one had lower perceived organizational performance than the no downsizing group, supporting hypothesis (1e). For hypotheses on job security (1d), affective and calculative attachments (2 and 3), and turnover intentions (4), layoffs and layoff combinations had less job security, less attachments, and higher turnover intention than the no downsizing group, whereas offshoring, outsourcing and their combination did not. However, offshoring and the offshoring and outsourcing groups had lower affective attachment than the no downsizing group, lending partial support to hypothesis 2.

Hypothesis 5 sought to explore differences among the three forms of downsizing; the findings show a pattern where groups experiencing layoffs and combinations involving layoffs have more negative survivor reactions, less job security, less psychological attachments to the organization, and higher turnover intentions than outsourcing and offshoring. There were several

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TABLE 2

MANCOVA Covariate-Adjusted Estimated Marginal Mean Comparisons with Bonferroni Adjustments

Dependent variable	Downsizing group (*n*)	Marginal estimated group mean	SE
Management fairness	No downsizing (3434)	2.45(ac)	0.013
	Layoff (1091)	2.44(ac)	0.022
	Offshoring (745)	2.60(b)	0.027
	Layoff + offshoring (492)	2.55(bc)	0.033
	Outsourcing (2083)	2.47(ac)	0.016
	Layoff + outsourcing (1280)	2.41(ac)	0.020
	Outsourcing + offshoring (1587)	2.52(bc)	0.018
	All three forms (1331)	2.51(bc)	0.020
Empowerment	No downsizing	2.70(bd)	0.010
	Layoff	2.73(bc)	0.017
	Offshoring	2.60(ad)	0.020
	Layoff + offshoring	2.62(acd)	0.025
	Outsourcing	2.76(b)	0.012
	Layoff + outsourcing	2.70(bde)	0.016
	Outsourcing + offshoring	2.59(a)	0.014
	All three downsizing forms	2.61(ae)	0.016
Work satisfaction	No downsizing	1.97(ac)	0.013
	Layoff	1.99(ac)	0.022
	Offshoring	1.91(a)	0.027
	Layoff + offshoring	2.00(ac)	0.033
	Outsourcing	1.99(ac)	0.016
	Layoff + outsourcing	2.01(ac)	0.020
	Outsourcing + offshoring	1.97(ac)	0.018
	All three downsizing forms	2.07(b)	0.020
Job security	No downsizing	2.12(a)	0.015
	Layoff	2.62(b)	0.027
	Offshoring	2.03(a)	0.032
	Layoff + offshoring	2.70(bd)	0.040
	Outsourcing	2.10(a)	0.019
	Layoff + outsourcing	2.69(bd)	0.025
	Outsourcing + offshoring	2.15(a)	0.022
	All three downsizing forms	2.81(cd)	0.025
Perceived performance	No downsizing	2.61(af)	0.011
	Layoff	2.81(bcg)	0.020
	Offshoring	2.72(bc)	0.024
	Layoff + offshoring	2.71(bcf)	0.029
	Outsourcing	2.78(bc)	0.014
	Layoff + outsourcing	2.98(d)	0.018
	Outsourcing + offshoring	2.82(bce)	0.016
	All three downsizing forms	2.88(deg)	0.018

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TABLE 2 (cont.)

Dependent variable	Downsizing group (*n*)	Marginal estimated group mean	SE
Affective attachment	No downsizing	2.27(a)	0.010
	Layoff	2.42(be)	0.018
	Offshoring	2.42(be)	0.022
	Layoff + offshoring	2.56(c)	0.027
	Outsourcing	2.31(a)	0.013
	Layoff + outsourcing	2.39(bd)	0.017
	Outsourcing + offshoring	2.39(bd)	0.015
	All three downsizing forms	2.50(ce)	0.016
Calculative attachment	No downsizing	2.72(a)	0.012
	Layoff	2.90(bc)	0.022
	Offshoring	2.81(ae)	0.026
	Layoff + offshoring	2.95(bcde)	0.032
	Outsourcing	2.78(a)	0.016
	Layoff + outsourcing	2.94(bcd)	0.020
	Outsourcing + offshoring	2.81(ae)	0.018
	All three downsizing forms	2.99(bd)	0.020
Turnover intention	No downsizing	3.83(b)	0.020
	Layoff	3.61(a)	0.035
	Offshoring	3.94(b)	0.042
	Layoff + offshoring	3.62(ac)	0.051
	Outsourcing	3.82(bc)	0.025
	Layoff + outsourcing	3.59(a)	0.032
	Outsourcing + offshoring	3.89(b)	0.029
	All three downsizing forms	3.57(a)	0.032

NOTE: Because of reverse scoring, lower means indicate higher levels of the construct. Means that share no subscript in common (a,b,c, etc.) are significantly different at the $p < 0.001$ level. Covariates are evaluated at: Age = 45.71, Pay type = 1.55, Tenure = 4.42, Company size = 4.28, Management communication = 2.70, and Management ethics = 2.43. With listwise deletion, $N = 12{,}043$.

notable exceptions to this pattern. The layoff group mean on empowerment was not lower than the outsourcing group's mean, and was significantly "higher" than the offshoring group's. The layoff group was not lower on affective and calculative attachments than the offshoring group. Generally though, the layoff group demonstrated more negative outcomes than offshoring and outsourcing groups, but very few significant differences were found between offshoring and outsourcing groups.

Hypothesis 6 proposed an increasing negative effect on outcomes as the number of forms of downsizing increases. This involved comparing each form alone to its combinations for each dependent variable. Of seventy-two comparisons of one vs. multiple forms, twenty-one were significant in the hypothesized direction. Only comparisons involving offshoring and outsourcing on perceived organizational performance, job security, affective and calculative attachments, and turnover intention were supportive of hypothesis 6. For

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twenty-four mean comparisons of 2 vs. 3 forms groups, none were significant for management fairness, empowerment, or work satisfaction. Of the remaining comparisons of offshoring and outsourcing to all three-forms, four (4/5) supported hypothesis 6. Thus, hypothesis 6 was generally supported for offshoring and for outsourcing on: perceived organizational performance, job security, affective and calculative attachments, and turnover intent.

Discussion

In the present study, we provide the first evidence across industries and organizations that recent survivors of layoffs, or combinations of forms including layoffs, generally have lower perceived organizational performance, lower job security, lower affective and calculative attachments to the organization, and higher turnover intentions than a no downsizing comparison group. However, offshoring and outsourcing survivors generally do not have less job security, less organizational attachments, or higher turnover intent. With respect to the outcome perceived organizational performance though, main effects vs. the no downsizing group were significant for layoffs, outsourcing, and offshoring.

With few exceptions, main effects were not significant for any downsizing form vs. the no downsizing group for Mishra and Spreitzer's (1998) reactions of manager fairness, empowerment, and work satisfaction. It appears that controlling theoretical and demographic covariates essentially "washed out" the expected effects on fairness, empowerment, and work satisfaction in all but a few comparisons. This suggests that perceptions of management communication and management ethics condition the effects of downsizing on Mishra and Spreitzer's survivor reactions, more than they condition effects on job security, attachments, and turnover intention.

Surprisingly, we found no negative main effects for outsourcing on any outcome except perceived organizational performance. Evidently outsourcing is seen as relatively more benign, in terms of survivor reactions and turnover propensity, than the other forms. Perhaps survivors feel that their organizational opportunities have not worsened or that they could potentially work for outsourcing recipients, unlike with offshoring and layoffs.

Our evidence strongly suggests that layoffs are the most negatively regarded and costly form in terms of increased turnover propensity, but not on perceived organizational performance. With respect to offshoring vs. outsourcing, the offshoring group had lower means on management fairness and affective attachment. Offshoring organizations may be seen as less fair than outsourcing ones because the former may be seen as more threatening personally or more

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unpatriotic. Future research should build upon this study to further enumerate and differentiate the costs of various downsizing forms.

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